

to repay debts worth ₹1,059 crore. This, as per Ventura's analysis, will make AWL a net debt-free company in FY22 itself. Additionally, ₹1,900 crore is being allocated for capital expenditure as the firm is already into capacity expansion mode at multiple locations such as Nagpur (Maharashtra) for soya derivatives, Haldia (oil refining), Paradeep (warehousing), Bundi in Rajasthan for oil mills and Kadi in Gujarat and Neemuch in MP for dal processing, apart from two greenfield projects in Kolkata and Gohana (Haryana). Further, ₹450 crore has been set aside for mergers and acquisitions. Malik says AWL had been actively working on a select few brands and companies even before the IPO. "Our strategy is very clear: we want to expand our foods business. Second, whether the deal can help us expand nationally or even internationally. Third, will we get perpetual business from it? And fourth, whether we can expand that portfolio to meet our objective of making it big in processed foods. Hopefully, something should work out by April," he says.

Additionally, the markets in the North and East are currently the strongest for AWL, while Malik plans to bring sales from South and West on a par with the other two. In spite of coming from one of western India's lead-

ing business groups, AWL's weakness in the high per capita oil consuming market in the West is ironic. But since its initial focus has been on capturing the North—from its refineries at the Mundra plant—the balance remains skewed. To bridge the gap, AWL is aiming to strengthen its portfolio with products like cotton-seed oil that sells well in markets such as Gujarat. Moreover, it is working on steadily growing its retail reach from the 1.6 million or 80 per cent of the grocery outlets in the country.

Amid concerns over the future rate of growth for its edible oil business, the management sounds less concerned. "The per capita consumption of edible oil in India is still half of what it is in many South Asian countries. Further, there are thousands of households that are not able to afford edible oil. It is the rich who are cutting down on consumption of oily products, not the ones who can't afford it," he claims. And like AWL's winning formula of linking its ports with its plants, Malik has the backing of Wilmar's expertise that, he believes, holds the key to even luring the premium consumers back into the fray with value-added offerings in the edible oil space. **BT**

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